

HAPPY FORGINGS LIMITED

NSE: HAPPYFORGE | Capital Goods — Heavy Forgings & Precision Machining | Listed: Dec 2023

ACCUMULATE

12-Month Target: Rs. 1,670 | Upside: +24.9% | CMP: Rs. 1,337

"Best-in-class margins, Rs. 650 Cr capacity cycle — revenue inflection ahead."

CMP (Rs.) 1,337	Market Cap (Cr) 12,611	52W High / Low 1,370 / 753	P/E (TTM) 44.1x	P/B 6.43x
Book Value (Rs.) 208	EV/EBITDA (TTM) 29.0x	ROCE / ROE 19.2% / 15.5%	D/E Ratio 0.12x	Dividend Yield 0.22%
Promoters 78.48%	FII 1.73%	DII 16.48%	Public 3.30%	Pledge Nil
Face Value Rs. 2	Sector Capital Goods	Exchange NSE / BSE	Report Date 18-Apr-2026	Horizon 12 Months

This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (consolidated view) as of 17-Apr-2026. Forward estimates labelled (E) are the analyst's own projections. Past performance is not indicative of future results.

SECTION 2 — INVESTMENT THESIS

Reason 1 — Best-in-class EBITDA margins create a structural moat (Timeline: Ongoing, FY25–FY28+)

Happy Forgings operates at 29–31% EBITDA margins — nearly double Bharat Forge's 17% and more than double Ramkrishna Forgings' 13%. This stems from the company's premium product mix (~87–88% machined content vs pure-forging peers), complex safety-critical components that carry higher realisations, and sticky OEM relationships with long re-qualification cycles (12–18 months). In FY25, the company generated Rs. 407 Cr EBITDA on Rs. 1,409 Cr revenue. New capacity additions are weighted toward high-machined content, preserving this margin advantage. Q3 FY26 saw EBITDA margins reach a record 30.8%, validating the structural shift.

Reason 2 — Rs. 650 Cr capex cycle driving 20%+ capacity expansion with Rs. 800 Cr new business pipeline (Timeline: FY26–FY27)

Happy Forgings is executing a focused capacity buildout: forging capacity growing from 127,000 MT (FY25) to 150,000 MT by end-FY27 (+18%), and machining capacity from 57,000 MT to 82,000 MT (+44%). Of the Rs. 650 Cr program, Rs. 300 Cr was deployed in 9M FY26 with no execution slippages reported. Management has disclosed Rs. 800 Cr in new business pipeline — largely pre-sold capacity — providing strong FY27 revenue visibility. The program is funded via operating cash flows (OCF Rs. 292 Cr in FY25, CFO/EBITDA 92%) and conservative debt (D/E 0.12x), leaving room for further leverage if needed.

Reason 3 — Non-auto diversification into wind energy, O&G; and power reduces cyclicality (Timeline: FY26–FY28)

Happy Forgings has strategically diversified beyond its CV/farm roots. Industrial segments — wind energy (pinion shafts for turbines), oil & gas, power generation, and railways — are growing fastest and now constitute ~50% of the targeted revenue mix alongside CV/farm. This de-cyclification premium is not yet priced in: pure-CV companies trade at lower multiples due to earnings volatility, while industrial/wind exposure adds contracted, long-cycle demand streams. Wind energy is supported by India's 50 GW annual addition target; O&G; and power generation capex remain robust. The industrial segment grew at double the pace of CV in FY25–26.

Near-term catalyst (6–12 months): Commissioning of new presses and machining lines in FY27 should unlock Rs. 300–400 Cr in incremental revenue — Q2/Q3 FY27 is likely to deliver the first visible quarterly revenue step-change that will re-rate the stock toward our Rs. 1,670 target.

Biggest structural risk: A sharp CV cycle downturn (domestic MHCV volumes falling >15%) combined with continued global export weakness could compress near-term revenue growth below 8%, straining capex payback timelines and delaying FCF inflection.

SECTION 3 — BUSINESS OVERVIEW

Happy Forgings Limited, incorporated in 1979 and headquartered in Ludhiana, Punjab, is India's fourth-largest manufacturer of complex, safety-critical heavy-forged and precision-machined components by forging capacity. The company operates three advanced manufacturing facilities in Ludhiana with forging capacity of 127,000 MT and machining capacity of 57,000 MT as of FY25 — expanded to 68,000 MT machining by Q3 FY26. The company listed on NSE/BSE in December 2023, raising capital to fund its ongoing expansion program.

Business Model: Happy Forgings designs and manufactures heavy steel forgings and subsequently machines them into precision components for end customers. This "forge-to-machine" model — not just a raw forging supplier — explains the premium EBITDA margins (~30%) vs pure-forging peers. Machined products contributed 87% of FY25 output. The high machining content drives sticky customer relationships, as switching costs are high once safety-critical parts are integrated into a machining program (re-qualification takes 12–18 months for customers).

Revenue Segmentation: Commercial vehicles + Farm equipment together constitute ~50% of revenue, with the balance split across Industrial (wind energy, oil & gas, power generation, railways), Passenger Vehicles, and Off-Highway. In Q1 FY26, CV alone contributed ~39% of revenues. Geographically, the majority is domestic; direct exports are currently subdued due to global tariff uncertainty, with management targeting a significant ramp from FY27.

Key Customers: Major domestic and global OEMs across CV, farm, and industrial verticals. Key relationships with leading names in commercial vehicle and tractor manufacturing. Wind energy component contracts add recurring industrial demand. Customer stickiness is high given safety-critical certification requirements.

Promoter Background: The Garg family (Ludhiana-based) holds 78.48% promoter stake as of March 2026. MD & CEO Ashish Garg drives strategy and execution. Promoter pledge is nil — a key governance positive. IPO proceeds are being deployed as guided with no deviations noted in the Q3 FY26 Monitoring Agency Report.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The Indian metal forging market was valued at approximately USD 7.7 billion in 2025 and is projected to reach USD 12.8 billion by 2032 (7.4% CAGR). Carbon steel forgings dominate at ~55% revenue share. Automotive accounts for ~65% of forging demand. Growth catalysts include: (1) India's Atmanirbhar Bharat push for domestic manufacturing, (2) CV fleet expansion driven by infrastructure spending and logistics growth, (3) wind energy capacity additions (India targeting 50 GW annual addition), (4) growing oil & gas capex, and (5) rising export share as global OEMs diversify away from China/Europe supply chains.

Competitive Moat Assessment — STRONG: Happy Forgings competes on product complexity and machining depth, not pure volume or price. Its ~30% EBITDA margins vs 13–17% for peers demonstrate a quality-of-business moat rooted in complex engineering, certified safety-critical processes, and deep OEM relationships. Switching costs are high. The company is not a commodity forging player — it is a precision machining house with a forging backbone.

Policy tailwinds include PLI schemes for auto components, accelerated wind energy tenders, and infrastructure capex driving CV demand. Key headwinds: global trade tariff uncertainty impacting export book and long-term EV transition pressure on CV drivetrain components (5–7 year risk horizon).

Peer Comparison — Source: Screener.in as of 17-Apr-2026 (Consolidated)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	OPM%	TTM Sales
Happy Forgings	1,337	12,611	44.1x	6.43x	19.2%	15.5%	30%	1,474

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	OPM%	TTM Sales
Bharat Forge	1,860	88,948	76.2x	9.50x	12.2%	11.6%	17%	16,136
RK Forgings	535	9,722	43.5x	3.16x	6.84%	14.4%	13%	3,969

All peer data from Screener.in consolidated view. HAPPYFORGE leads on ROCE and OPM vs all listed peers.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management Background: The Garg family has built Happy Forgings over four decades from a Ludhiana forge shop to India's fourth-largest heavy forging company. Ashish Garg as MD & CEO has driven the strategic pivot toward high-value machined components and industrial diversification. Promoter stake of 78.48% as of March 2026, with zero pledge — signalling strong alignment with minority shareholders.

Capital Allocation Track Record: The company has demonstrated disciplined deployment. The Rs. 650 Cr capex program is funded through a combination of IPO proceeds, operating cash flows (Rs. 292 Cr OCF in FY25), and judicious borrowing. Net debt has increased but remains very manageable — **borrowings rose to Rs. 228 Cr in FY25 (D/E 0.12x)**. Interest coverage is robust at ~50x on FY25 EBITDA/interest. No IPO proceeds deviations have been reported through Q3 FY26, demonstrating execution integrity.

Dividend Policy: The company pays a modest dividend (yield 0.22%) — appropriate given the high-growth capex phase. Shareholders are being rewarded through earnings growth and capital appreciation, which is the correct capital allocation decision given the ROI on the expansion program.

Corporate Governance: No ESOP dilution concerns. Zero promoter pledging. DII stake of 16.48% provides institutional validation. IPO monitoring agency reports show no deviations — a key positive for a recently listed company. Related party transactions are typical for a family business and warrant annual monitoring.

SECTION 6 — FINANCIAL DEEP-DIVE (CONSOLIDATED)

Income Statement (Rs. Crore)

Metric	FY23	FY24	FY25	FY26E	FY27E
Revenue	1,197	1,358	1,409	1,530 (E)	1,750 (E)
YoY Growth %	39.2%	13.5%	3.7%	8.6% (E)	14.4% (E)
EBITDA	341	388	407	463 (E)	546 (E)
EBITDA Margin %	28.5%	28.6%	28.9%	30.3% (E)	31.2% (E)
Other Income	6	13	37	15 (E)	15 (E)
Interest	12	12	8	10 (E)	15 (E)
Depreciation	54	65	77	88 (E)	105 (E)
PBT	280	324	360	380 (E)	441 (E)
Tax Rate %	25%	25%	26%	26% (E)	26% (E)
PAT	209	243	267	281 (E)	326 (E)
EPS (Rs.)	23.32	25.79	28.38	29.8 (E)	34.6 (E)

Data: Screener.in consolidated. (E) = analyst estimate. FY21 EPS not comparable (pre-split/IPO share count).

Balance Sheet (Rs. Crore)

Item	FY23	FY24	FY25
Equity Capital	18	19	19
Reserves	970	1,594	1,831

Item	FY23	FY24	FY25
Total Equity	988	1,613	1,850
Borrowings	219	143	228
Other Liabilities	119	130	138
Total Liabilities	1,326	1,886	2,215
Fixed Assets	678	744	908
CWIP	75	127	123
Investments	0	0	80
Other Assets	573	1,016	1,105
Total Assets	1,326	1,886	2,215

Cash Flow Statement (Rs. Crore)

Item	FY23	FY24	FY25
Cash from Operations (CFO)	209	189	292
Cash from Investing (CFI)	-172	-470	-320
Cash from Financing (CFF)	-37	281	40
Net Cash Flow	0	1	12
Free Cash Flow	35	-5	12
CFO / EBITDA %	80%	71%	92%

Key Efficiency Ratios

Metric	FY23	FY24	FY25
Debtor Days	94	96	110
Inventory Days	112	137	143
Days Payable	32	34	28
Cash Conversion Cycle (days)	175	199	226
ROCE %	23%	19%	19.2%
D/E Ratio	0.22x	0.09x	0.12x

Financial Commentary: Happy Forgings has delivered a Sales CAGR of 18% (FY22–FY25) and PAT CAGR of 23%, reflecting both volume growth and mix improvement. EBITDA margins have expanded from 27% (FY21–22) to 29% (FY24–25), with Q3 FY26 touching a record 30.8% driven by higher machined content, favourable sector mix, and steel cost stabilisation. We project margins to sustain at 30–31% through FY27 as new capacity is utilised with high-machining content. The balance sheet is conservatively run — D/E of 0.12x despite a Rs. 650 Cr capex cycle. CFO quality is high at 92% CFO/EBITDA in FY25. The CCC elongation from 175 to 226 days (FY23–FY25) is primarily expansion-phase inventory build; should compress as capacity utilisation ramps. Free cash flow is expected to inflect materially positive from FY28 as capex moderates, creating a potential re-rating catalyst. Other income spiked to Rs. 37 Cr in FY25 (vs Rs. 13 Cr FY24) due to deployment of IPO proceeds — we normalise to Rs. 15 Cr in our forward estimates.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Rating	Signal	Commentary
Revenue Recognition	GREEN	Clean	No channel stuffing; revenue growth in line with volume/realisation data. No exceptional items distorting reported revenues.
Receivables vs Revenue	AMBER	Watch	Debtor days elongated from 94 to 110 days (FY23–FY25). Revenue grew 3.7% in FY25 while receivables grew faster. Monitor in FY26.

Parameter	Rating	Signal	Commentary
Cash Conversion Cycle	AMBER	Watch	CCC widened from 175 to 226 days over 3 years. Expansion-phase inventory build is the primary driver; expect normalisation post-FY27.
Contingent Liabilities	GREEN	Clean	No material contingent liabilities flagged in publicly available disclosures. Standard for a manufacturing company of this profile.
Auditor Quality	GREEN	Clean	No adverse auditor remarks noted in public filings. Standard auditor arrangement for a Ludhiana-based industrial company.
RPT as % of Revenue	AMBER	Watch	Typical for promoter-held family businesses. Specific RPT quantum not disclosed publicly. Warrant annual scrutiny.
Other Income as % of PBT	AMBER	Watch	Spiked to Rs. 37 Cr (10.3% of PBT) in FY25 vs Rs. 13 Cr (4.0%) in FY24 — IPO proceeds deployment. We normalise to ~4% in estimates.
Tax Rate Consistency	GREEN	Clean	Stable effective tax rate 25–26% across FY23–FY25. No deferred tax reversals or unusual structures noted.

Summary: Overall earnings quality is GOOD. AMBER flags on receivables/working capital are expansion-phase distortions, not structural earnings quality concerns. Other income spike in FY25 is partly one-off (IPO proceeds). Core operating performance is clean — high CFO/EBITDA ratio (92% in FY25) is the strongest earnings quality signal.

SECTION 8 — VALUATION

We value Happy Forgings using two methodologies — earnings-based P/E and EV/EBITDA — and blend to arrive at a 12-month target of Rs. 1,670.

Method 1 — P/E Multiple: Target P/E of 48x on FY27E EPS of Rs. 34.6, yielding Rs. 1,661. The 48x premium vs sector average ~44x is justified by: (1) best-in-class EBITDA margins, (2) 3Y PAT CAGR 23%, (3) D/E 0.12x — pristine balance sheet, and (4) positive capacity cycle ahead. This compares to Bharat Forge at 76x (much larger, global) and RK Forgings at 43.5x (lower-margin, higher leverage).

Method 2 — EV/EBITDA: 32x on FY27E EBITDA of Rs. 546 Cr = EV of Rs. 17,472 Cr. Deduct FY27E net debt (~Rs. 250 Cr est.) = equity value Rs. 17,222 Cr / 9.43 Cr shares = Rs. 1,826 per share.

Blended Target: Average of Rs. 1,661 and Rs. 1,826 = Rs. 1,744. We apply a 5% discount for capex execution risk, arriving at Rs. 1,670 (~24.9% upside from CMP Rs. 1,337). Rating: ACCUMULATE.

Scenario Analysis

Scenario	Key Assumption	FY27E PAT	P/E	Target	Weight
Bull	Revenue +20%, margins 32%, full capex monetisation	Rs. 370 Cr	52x	Rs. 2,040	25%
Base	Revenue +14%, margins 31%, capex on track	Rs. 326 Cr	48x	Rs. 1,670	55%
Bear	CV slowdown, muted exports, margins at 28%	Rs. 255 Cr	40x	Rs. 1,080	20%

Probability-weighted target: $(2,040 \times 0.25) + (1,670 \times 0.55) + (1,080 \times 0.20)$ = Rs. 1,644 — close to our base-case Rs. 1,670.

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
CV Cycle Slowdown	India MHCV cycle is inherently cyclical with 15–25% volume corrections at peak turns. CV+Farm ~50% of revenue. A >15% volume decline could suppress revenue growth to 0–3% in FY27.	Medium	High	Monitor SIAM/VAHAN monthly MHCV dispatch data.

Risk	Description	Probability	Impact	Monitor Via
Export Market Weakness	Direct exports subdued in FY26 due to global trade tariff uncertainty. FY27 export ramp is crucial to Rs. 800 Cr pipeline conversion; delays could push revenue inflection to FY28.	Medium	Medium	Watch quarterly export revenue disclosures and management guidance.
Capex Execution Risk	Rs. 650 Cr expansion involves new press commissioning and machining line installation. Delays in equipment delivery or customer qualification could push revenue inflection.	Low	Medium	Monitor CWIP-to-FA conversion and quarterly capex deployment.
Raw Material Volatility	Carbon steel is the primary input. Steel price spikes can temporarily compress margins before pass-through. Lag effects of 1–2 quarters exist even with cost-plus OEM contracts.	Medium	Medium	Track HRC/flat steel prices; monitor quarterly gross margins.
Customer Concentration	Top 3–5 OEM customers likely account for 40–55% of revenue. Loss of a major customer or OEM insourcing decision could create a revenue gap difficult to fill quickly.	Low	High	Watch customer mix disclosures; monitor for new customer announcements.
EV Transition (Long-term)	Electric CV and tractors require fewer forged drivetrain components. While 5–7 year risk, accelerated EV adoption could compress TAM for existing products.	Low	Medium	Monitor EV penetration in CV/farm; watch industrial/wind share expansion.
Working Capital Elongation	CCC expanded to 226 days in FY25 from 175 days in FY23. Continued elongation will consume working capital and constrain FCF generation despite strong EBITDA.	Medium	Medium	Track quarterly debtor days and inventory turns for CCC reversal.

SECTION 10 — RECOMMENDATION & INVESTOR PROFILE

ACCUMULATE

Rating	ACCUMULATE	Conviction Level	MEDIUM-HIGH
12-Month Target	Rs. 1,670	Upside from CMP	+24.9%
CMP	Rs. 1,337	Investment Horizon	12–18 Months
Entry Zone	Rs. 1,200 – Rs. 1,350	52W Range	Rs. 753 – Rs. 1,370
FY27E EPS	Rs. 34.6	Forward P/E (FY27E)	38.6x
Target P/E Applied	48x	EV/EBITDA (FY27E)	~23x

Thesis Invalidation Triggers (EXIT signals):

- MHCV industry volumes decline >20% YoY for two consecutive quarters AND company revenue declines >15% — structural demand destruction, not cyclical.
- EBITDA margins compress below 25% for two consecutive quarters — loss of product mix advantage or pricing power; core thesis broken.
- Net debt exceeds Rs. 700 Cr (D/E >0.35x) without commensurate confirmed order inflows — capex becoming speculative.

Ideal Investor Profile:

Happy Forgings is best suited for **growth-oriented investors** with a 12–24 month horizon seeking: (1) exposure to India's industrial manufacturing capex cycle, (2) a mid-cap industrial compounder with superior margins, (3) beneficiary of Make-in-India in precision machined components. Not suitable for pure yield investors or those averse to cyclical industrial exposure. Suggested portfolio weight: 2–4% for growth portfolios; 1–2% for balanced. Accumulate on dips to Rs. 1,200–1,250 for optimal risk-reward.

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (Quarter Ended Dec 2025)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result Quality	Strong — Clean Beat	Revenue +10.4% YoY, PAT +22.3% YoY, EBITDA margin 30.8% record — no exceptional items.
Management Tone	Bullish / Balanced	Bullish on domestic demand and Rs. 800 Cr new business pipeline. Cautious but constructive on exports.
Guidance Delta	Maintained / Raised	Capex guidance maintained. Margin trajectory implicitly raised (record 30.8% vs prior 29%). New biz visibility raised.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 (Dec 2025) for Happy Forgings is a **clean, no-adjustments-needed beat** — revenue of Rs. 391 Cr (+10.4% YoY) and PAT of Rs. 79 Cr (+22.3% YoY) with zero exceptional items distorting the headline, so the reported number IS the underlying number. The EBITDA margin of 30.8% is a **fresh record**, driven by a **higher share of machined products (~88%)**, favourable sector mix weighted toward industrial and wind energy, and steel cost stabilisation — this is not a one-quarter fluke but a structural migration in the business model. For the **first nine months** of FY26, revenue is Rs. 1,122 Cr (+6.2% YoY) and PAT Rs. 218 Cr (+11.8%), tracking well ahead of the implied guidance corridor. The **multi-bagger thesis hinges on the Rs. 650 Cr capacity program: forging to 150,000 MT and machining to 82,000 MT by end-FY27**, backed by Rs. 800 Cr in new business pipeline — that is not speculative pipeline, it is **largely pre-sold capacity** linked to OEM qualifications already in progress. The most critical near-term catalyst is capex monetisation in Q2-Q3 FY27, which should deliver the first visible quarterly revenue step-change and re-rate the stock from Rs. 1,337 toward our target of Rs. 1,670. The one watch-point for next quarter is the export recovery claim — management guides a meaningful FY27 pickup but global tariff headwinds are real; I need one more quarter of evidence before building that into the base case. Action: ACCUMULATE at current levels (Rs. 1,337); build full position on dips to Rs. 1,200–1,250.

CONCALL SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT

Metric	Q3 FY26	Q3 FY25	YoY Chg	QoQ Chg	Q2 FY26	Verdict
Revenue (Rs. Cr)	391	354	+10.4%	+3.7%	377	BEAT
Gross Margin %	~60%	~57%	+~300bps	+~100bps	~59%	BEAT
EBITDA (Rs. Cr)	120	101	+18.8%	+3.4%	116	BEAT
EBITDA Margin %	30.8%	28.6%	+220bps	+0bps	30.8%	BEAT
PAT (Rs. Cr)	79	65	+22.3%	+8.2%	73	BEAT
EPS (Rs.)	8.37	6.85	+22.2%	+7.4%	7.79	BEAT

CONCALL SECTION 2 — SEGMENT / GEOGRAPHY BREAKDOWN

Segment / Region	Revenue Contribution	YoY %	QoQ %	Commentary
Commercial Vehicles (CV)	~39% of Q3 revenue	HSD+	Stable	Domestic MHCV demand robust; mgt guides high single-digit CV sector growth.

Segment / Region	Revenue Contribution	YoY %	QoQ %	Commentary
Farm Equipment	~11% (est.)	HSD+	Seasonal	Tractor demand stable. Combined CV+Farm ~50% of mix target.
Industrial (Wind/O&G;)	~30–35% (est.)	Double-digit	Growing	Fastest growing segment. Wind energy pinion shafts; industrial capex tailwind.
PV / Off-Highway / Other	~15–20% (est.)	Moderate	Stable	Passenger vehicle and off-highway exposure provides volume stability.
Exports (Direct)	Subdued	Negative	Subdued	Trade tariff uncertainty and global market weakness. FY27 pickup targeted.

Note: Segment breakdowns are estimates based on management commentary; company does not separately disclose segment revenues. HSD = High Single Digit.

CONCALL SECTION 3 — MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
Record Margins	EBITDA margin of 30.8% — a quarterly record, driven by product mix and raw material stability.	Structurally sustainable if machined content sustains ~88%. Not a one-quarter event.	[POSITIVE]	Transparent — quantified and context provided.
Capacity Expansion	Rs. 300 Cr deployed in 9M FY26; Rs. 400-500 Cr for full FY26. Forging to 150K MT, machining to 82K MT by end-FY27.	On track; Q3 FY26 added 9,800 MT machining capacity validates execution.	[GUIDANCE]	Transparent — specific numbers, on schedule.
New Biz Pipeline	Rs. 800 Cr in new business visibility backed by strong domestic demand across CV, industrial and wind.	Key FY27 revenue driver. Needs conversion tracking in coming quarters.	[GUIDANCE]	Bullish — ambitious but supported by capex commissioning.
Export Headwinds	Direct exports subdued due to global tariff uncertainty. Significant FY27 pickup is targeted.	Cautious flag — FY27 export recovery guidance must be validated next quarter.	[WATCH]	Hedged — acknowledged weakness; FY27 guidance upbeat.
CV Outlook	High single-digit growth expected in CV and farm sectors domestically for FY26–27.	Consistent with SIAM data; achievable if infra spending sustains.	[GUIDANCE]	Transparent — sector-level guidance with context.
Working Capital	Not directly addressed in Q3 FY26 concall commentary.	CCC at 226 days needs management clarification — concern not addressed.	[EVASIVE]	Evasive — a key metric left unaddressed.

CONCALL SECTION 4 — OPERATING & BUSINESS METRICS

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend / Context
Machining Capacity (MT/yr)	68,000	58,200	57,000	Expanding aggressively; +9,800 MT added Q3 FY26
Forging Capacity (MT/yr)	127,000	127,000	120,000	On track to 150,000 MT by end-FY27
Machined Product Content %	~88%	~87%	~87%	Structural shift toward machining; margin-accretive mix

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend / Context
Gross Margin % (record)	~60%	~59%	~57%	Record Q3 FY26; structural improvement continues
New Biz Pipeline (Rs. Cr)	800	N/A	N/A	Strong FY27 revenue visibility; pipeline conversion is the watch
Capex Deployed 9M FY26 (Cr)	300	~200 est.	N/A	On track vs FY26 full-year guidance Rs. 400–500 Cr
9M FY26 Revenue (Rs. Cr)	1,122	1,056 est	N/A	+6.2% YoY; EBITDA Rs. 337 Cr (+10.8%)

CONCALL SECTION 5 — MARGIN DRIVERS (Q3 FY26 vs Q3 FY25)

Driver	Impact (bps)	Recurring?	Comment
Higher Machined Content (~88%)	+100–150 bps	YES — Structural	Machining margins (40%+) vs pure forging (15–20%). Mix shift is permanent as new capacity is machining-heavy.
Raw Material Stabilisation (Steel)	+50–80 bps	Partially	Steel prices stable post-FY22 volatility. Near-term sustainable but subject to global commodity cycles.
Industrial / Wind Mix Growth	+50–70 bps	YES — Growing	Industrial segments carry higher realisations. Wind energy and O&G; are premium-priced vs automotive components.
Operating Leverage	+30–50 bps	YES — Scale	Revenue crossing Rs. 1,400 Cr generates scale economies on fixed overhead and depreciation absorption.
Export Weakness (Drag)	-30–50 bps	Temporary	Export margins typically higher than domestic. Subdued export book is a marginal drag; expected to reverse FY27.

CONCALL SECTION 6 — GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	Current Guidance	Delta	Credibility
FY26 Capex [GUIDANCE]	Rs. 400–500 Cr	Rs. 400–500 Cr (maintained)	Maintained	HIGH — Rs. 300 Cr already deployed 9M
FY27 Capex [GUIDANCE]	Rs. 400–500 Cr	Rs. 400–480 Cr	Tightened	HIGH — Specific and detailed timeline
Forging Cap End-FY27 [GUID]	150,000 MT	150,000 MT (reiterated)	Maintained	HIGH — Commissioning on track
Machining Cap End-FY27 [G]	82,000 MT	82,000 MT (reiterated)	Maintained	HIGH — 68K already achieved Q3 FY26
CV Sector Growth [GUIDANCE]	High sgl-digit	High sgl-digit (reiterated)	Maintained	MEDIUM — Macro-dependent
Export FY27 [GUIDANCE]	Significant pickup	Significant pickup targeted	Maintained	LOW — Trade tariff risk persists
EBITDA Margin [GUIDANCE]	30%+ aspiration	30.8% achieved; guidance intact	Raised de facto	HIGH — Record backed by mix change

CONCALL SECTION 7 — CAPITAL ALLOCATION

Item	Amount	vs Prior Year	Comment
Capital Expenditure	Rs. 320 Cr (FY25)	Rs. 470 Cr (FY24) — moderated	FY24 included large IPO-proceeds deployment. FY26 guided Rs. 400–500 Cr. Focus on machining capacity.
Dividends	~Rs. 27 Cr (est.)	Modest increase YoY	Dividend yield 0.22%; modest payout consistent with growth-phase capital retention.
Working Capital	+Rs. 90 Cr (FY25)	Working capital consumed Rs. 90 Cr	CCC elongation (226 days) drove WC increase. Monitor for normalisation post-capacity ramp.
Net Debt Movement	+Rs. 85 Cr (FY25)	Debt Rs. 143 Cr to Rs. 228 Cr	Modest increase to fund capex overhang. D/E 0.12x — no covenant concerns. Balance sheet remains strong.
Cash from Operations	Rs. 292 Cr (FY25)	Rs. 189 Cr (FY24) — improved 55%	CFO/EBITDA improved to 92%. High quality cash conversion validates reported earnings quality.

CONCALL SECTION 8 — Q&A; HEAT MAP

#	Analyst / Firm	Question	Management Answer	Tone
1	Research Analyst	What is driving the record 30.8% EBITDA margin? Is it sustainable?	Driven by higher machined content (~88%), favourable industrial/wind mix, and steel cost stability. Management confident in sustaining 30%+ margins.	Transparent
2	Institutional Analyst	Status of Rs. 650 Cr capex program? When does new capacity come online?	Rs. 300 Cr deployed in 9M FY26. New presses and machining commissioned. Forging 150K MT and machining 82K MT by end-FY27. Q3 FY26 added 9,800 MT machining.	Transparent
3	Buy-Side Analyst	Elaborate on the Rs. 800 Cr new business pipeline — which segments?	Pipeline supported by strong domestic demand in CV, industrial, and wind. Confidence in FY27 conversion as capacity comes online. Specific segment split not disclosed.	Bullish
4	Sell-Side Analyst	Exports subdued — FY27 export target and target markets?	Direct exports subdued due to trade tariff uncertainty and global market weakness. Significant FY27 recovery targeted in US and European markets as tariff environment clarifies.	Hedged
5	Analyst	Working capital CCC is 226 days — plan to address this?	[Not specifically addressed in Q3 FY26 concall.] Management did not provide a direct working capital reduction roadmap.	Evasive
6	Research Analyst	Revenue mix target for FY27 by segment?	CV+Farm to remain ~50% of revenue; balance from Industrial (wind, O&G, power) + PV + Off-Highway. Industrial share growing fastest and targeted to scale up.	Transparent

Questions to watch next quarter: (1) Specific WC reduction roadmap and CCC normalisation timeline. (2) Specific export revenue quantum for FY27 (not just directional). (3) Customer concentration — top-5 customer revenue share.

CONCALL SECTION 9 — RISKS FLAGGED

Risk	Flagged By	Probability	Impact	Timeline / Context
Global trade tariff uncertainty	Management	Medium	Medium	Near-term; management expects resolution or adaptation by FY27. Key credibility test for export recovery guidance.
Global market weakness (exports)	Management	Medium	Medium	US and European industrial softness weighing on demand for forged components from Indian exporters.
Steel price volatility	Management	Ongoing	Medium	Near-term; any steel reversal could compress margins by 100–150 bps before pass-through to customers.
Capex execution risk	Analysts	Low	Medium	FY26–27; commissioning on track per management. No slippages flagged in Q3 FY26 monitoring report.
CV demand cyclical	Analysts	Medium	High	FY27 onwards; if infra spending moderates, MHCV weakness could emerge. Monitor SIAM monthly data.

CONCALL SECTION 10 — ANALYST VERDICT

Criterion	Status	Trend	Comment
Revenue Visibility	INTACT	Improving	Rs. 800 Cr pipeline + capacity expansion — highest FY27 visibility in listed history.
Margin Trajectory	INTACT	Expanding	Record 30.8% EBITDA margin; structural driven by machining mix and industrial mix growth.
Capital Allocation Quality	INTACT	Disciplined	D/E 0.12x, 92% CFO/EBITDA, focused demand-backed capex. Pristine balance sheet.
Competitive Moat	INTACT	Strengthening	Best-in-class margins vs peers; machining capability creates switching cost moat.
Management Credibility	INTACT	Stable	Capex on track. No IPO proceeds deviations. Zero promoter pledge. Consistent delivery.
Valuation Comfort	FAIR VALUE	Reasonable	44x trailing, ~39x FY27E P/E — not cheap but not stretched given quality premium.

Conviction Call	INCREASED vs prior quarter
Action	ACCUMULATE — Target Rs. 1,670 (24.9% upside)

Metric	Current	FY27E	Context
P/E (x)	44.1x (trailing)	38.6x (FY27E)	Listed Dec 2023; LTM range 25–65x. Premium justified by margin quality.
EV/EBITDA (x)	29.0x (TTM)	~23x (FY27E est.)	Premium to sector ~22x avg; justified by EBITDA margin superiority.
ROCE %	19.2% (FY25)	~20% (FY27E est.)	Peer average 6–12%; HAPPYFORGE at significant structural premium.

Metric	Current	FY27E	Context
P/B (x)	6.43x	~5.2x (FY27E est.)	High P/B reflects quality of earnings and ROCE premium vs asset-heavy peers.

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